

EXAM 7 – SPRING 2013

13. (1.75 points)

An insurance company has a portfolio of workers compensation, medical malpractice and commercial property business. The portfolio has been in existence for over ten years and currently the volume of business written in each line is stable.

a. (1 point)

The company believes that the unpaid claim reserves for its property business have recently become more uncertain than its reserves for workers compensation and medical malpractice. Discuss two possible reasons for this conclusion.

b. (0.75 point)

Identify three sources of risk the company should consider in order to avoid underestimating the degree of uncertainty in its unpaid claim reserves for workers compensation.

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Question 13 Sample Answer

Solution 1

- a) One possibility is an increase in significant catastrophe activity in its property book over the past few years (such as from Irene and Sandy) that is impacting their cat models. Another possibility is a significant change in fuel prices causing the supply chain of building materials to become more costly. This will impact replacement costs in an unpredictable fashion.

This could be due to a recent catastrophe affecting the property business. This could cause evaluation of unpaid claims to be volatile, especially if the event happened near the balance sheet date. Also, the insurer could have purchased excess of loss reinsurance on the casualty lines, mitigating the concern on these lines; alternatively, they may have dropped their treaties on property and now retain all the losses.

b)

- Legal changes to the benefit levels;
- Inflation, due to the long-tailed nature of this line;
- Latent exposures such as asbestos.

- Legislative changes that could affect the long-tailed lines;
- Inflationary pressures causing upward development on claims;
- Late reported claims in the pipeline.

Examiner Comment

Most candidates did reasonably well on part a) and very well on part b). Most of the full credit responses for part a) focused on the catastrophe exposure on the property line.